

Higher the interest coverage ratio better is the firm's ability to meet its

*Interest burden. The lenders use this ratio to assess debt servicing capacity
of a firm.*

(III) Profitability ratios:

*Profitability and operating/management efficiency of a firm is judged
mainly*

by the following profitability ratios:

(i) Gross Profit Ratio (%) =

Net Sales/

Gross Profit

** 100*